

BEFORE THE FEDERAL MARITIME COMMISSION
Administrative Law Judge

Docket No. 24-06

Impact Products, LLC and Safety Zone, LLC, Complainants

v.

Lihua Logistics Company Limited, Respondent

Respondent's Motion to Dismiss the Complaint

Respondent respectfully moves, pursuant to 46 C.F.R. 502.61(b)(1), 46 C.F.R. 502.69(g), and 46 C.F.R.502.70, to dismiss the Complaint in this proceeding because it fails to state a claim upon which relief can be granted. This Motion is equivalent to a Rule 12(b)(6) motion under the Federal Rules of Civil Procedure, and it is a dispositive motion pursuant to FMC Rules 69(g) and 70 (46 C.F.R. §§ 502.69(g) and 502.70.).

The Complainants lack standing to claim reparations because, as they have pleaded (Complaint, paragraph 13), they used an intermediary whom they allege was the conduit for payment of the charges at issue. In fact, Complainants have no privity of contract with the Respondent: they had no service contracts with Respondent; they were not named as shippers on Respondent's bills of lading; and they did not pay any of the charges to

Respondent for which they are now seeking reparations.

Facts

The Complaint in this matter was served by the Commission on February 14, 2024. Respondent's unopposed Motion for an Extension of Time to April 10, 2024 to respond to the Complaint was granted on March 8, 2024 by the Administrative Law Judge.

The Complaint alleges that Respondent violated provisions of the Shipping Act of 1984, as amended, and seeks reparations for alleged damages from the alleged violations. The Complaint misstates the facts, it is internally contradictory, factually and legally, and, most significantly for this Motion, seeks reparations based on certain charges that Complainants admit in Paragraph 13 of the Complaint were "invoiced" to Complainants by its "forwarder, Laufer Group International."

The Complainants, Impact Products, LLC and Safety Zone, LLC (who collectively are named "Supply Source" in the Complaint) are herein called, collectively, "Complainants"). The Verified Complaint states in Paragraph 13

"Throughout the relevant period, Supply Source used a freight forwarder Laufer Group International ("Laufer") to assist in the facilitation of the relevant containers. While Laufer invoiced Supply

Source for the Charges, it was simply acting as a conduit for the Charges that were sent by Lihua.”¹ (Emphasis added.)

This provision clearly substantiates that Complainants are not “direct purchasers.”

Under the Commission’s long-standing decisions, the Complaint on its face, shows that the Complainants were not “direct purchasers” of services from Respondent and have no standing to collect reparations under the Shipping Act.

The case law on the “direct purchaser” rule is well-settled and will be discussed below.

We note that Complainants allege in Paragraph 9 that FMC jurisdiction is based, in part, on Complainants claims “pursuant to the terms of their respective Service Contracts” with Respondent. The Complainants also alleged in Paragraph 31 of the Complaint that they had “service contracts” with Respondent, Lihua. These allegations are not only questionable in light of the statement in Paragraph 13 of the Complaint, as discussed above, they are also untrue.

¹ The FMC’s lists of licensed and active freight forwarders in the export trades and licensed or registered NVOCCs, as published on www.fmc.gov includes Laufer Group International (“Laufer”). But Laufer could not have been a “forwarder” with respect to imports as its forwarder license relates solely to the U.S. export trades. See 46 CFR Part 515. As far as Respondent can tell, Laufer did not act as an NVOCC with respect to any of the shipments at issue in this matter. Respondent is unaware of any “Charges that were sent by Lihua” to Laufer.

Respondent has no record of having had any service contracts with the Complainants with respect to the shipments for which Complainants seek reparations.

ARGUMENT

I. The Complainants have Failed to State a Claim Upon Which Relief Can Be Granted

It is clear that the Complainants admit in Paragraph 13 of the Complaint, that all expenses for which Complainants demand reparations were not based on “Charges sent by Lihua [to the Complainants].” This verified representation can only mean Complainants have no standing to seek reparations because they are not “direct purchasers” and that there was no privity of contract between the Complainants and the Respondent.

We believe the Commission and the Administrative Law Judge can take “official notice” under 46 CFR §502.226 as to whether there has been a service contract between the Complainants and the Respondent during the time period of the Complaint, that was filed with the FMC in accordance with the requirements of 46 CFR Part 530. The Commission stated in Marine Repair Serv. of MD v. Ports of America Chesapeake, LLC, 32 SRR 1136, 2262 n.39 (ALJ 2013), (citing *Union Elec. Co. v. F.E.R.C.*, 890 F.2d 1193, 1202 (D.C. Cir. 1989)) that

"Official notice is broader than judicial notice and may be taken, not only for public records and generally accepted facts, but also of matters within an agency's area of special expertise."

The FMC maintains records of service contracts that are filed by ocean common carriers with the Bureau of Trade Analysis as required by 46 CFR Part 530, *et seq.* of which the presiding Administrative Law Judge can take official notice. In fact, as would be expected if there were no service contracts between the Complainants and the Respondent, there are no bills of lading, either a House bill of a NVOCC or the Master bill of lading issued by Respondent, that contain any reference to either or both of the Complainants, as a contractual party.

In sum, the Complainants were not parties to any service contracts with Respondent, nor parties on Respondent's bills of lading, for any of the claims at issue. The Complainants were not, factually, "direct purchasers."

2. It Is Well-Settled That a Person Seeking Reparations Under The Shipping Act of 1984, as Amended, Must Be a Direct Purchaser In Its Relationship With The Respondent.

The law on direct purchasers is well-settled. Long-standing decisions under the Act have held that, where the claims are based on unjust or unreasonable practices, only the direct purchaser of the services provided by an ocean common carrier ("direct purchaser") has standing to support a claim for reparations. See, e.g., *Intermodal Motor Carriers Conference v. OCEMA*, 2024 WL 641501 (F.M.C.) (FMC 2024); *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 (F.M.C.) (FMC 2022); *In re Vehicle Carrier Services*, 1 FMC 2d 440 (FMC 2019); *Gov't of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894 (ALJ, Admin. Final 2002).

As the Commission explained, most recently, in *OCEMA*:

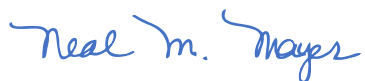
“For the past 90 years, the Commission and its predecessor agencies² have followed Supreme Court precedent in applying what has become known as the ‘direct purchaser rule.’ . . . [T]he direct purchaser rule deems the person that paid illegal overcharges (or directly sustained them) as *the only person* ‘directly damaged,’ regardless of what may have occurred later.” 2024 WL 641501, at *44. (Emphasis added.)

It appears well-settled that if the Complainants did not directly purchase ocean transportation services from the Respondent that they have no standing to sue for reparations for alleged violations under the Shipping Act.

CONCLUSION

For the reasons set forth herein, Respondent, Lihua Logistics Company Limited, respectfully requests that the Complaint in this proceeding be dismissed.

Respectfully submitted,



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CERTIFICATE OF SERVICE

I certify that on the _ day of March, 2024, a true and correct copy of the foregoing MOTION TO DISMISS was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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